

Price	Buy Option 550PE	Sell Option 460PE
Price > ₹550	✗ Exercised	✗ Exercised
Price = ₹500	✓ Exercised	✗ Exercised
Price < ₹460	✓ Exercised	✓ Exercised



NET INVESTMENT/MAXIMUM LOSS = Net premium
= ₹25 – ₹20
= **₹5** per share



BREAK EVEN POINT = Strike price of long put – Net premium
= ₹550 – ₹5
= **₹545**

If the price is above ₹545, we will be incurring losses. As we reach ₹545, we hit the break-even point.

At prices below ₹545, we will start making profits. But our profits will also be capped at ₹460.



MAXIMUM PROFIT = Difference in Strike prices - Net Premium
= (₹550 – ₹460) – ₹5
= **₹85**